

Continental Merchant Bank Ltd. — Corporate Banking Branch, Hyderabad*Internal Credit File — Confidential***Vantage Foods Processing Pvt. Ltd.***Term Loan Account No. TL/2022/0954 — Covenant Breach and Watchlist Status*

Illustrative / synthetic credit file created for training and demonstration purposes (e.g., testing retrieval-augmented generation systems). All names, figures, and details are fictional and do not correspond to any real borrower, bank, or transaction.

1. Facility Overview

Borrower	Vantage Foods Processing Pvt. Ltd., Bibinagar, Yadadri-Bhuvanagiri District
Facility Type	Term Loan for purchase of food processing and cold storage machinery
Account No.	TL/2022/0954
Original Sanctioned Amount	₹9,20,00,000
Disbursement Date	Fully disbursed by 12 September 2022
Tenor	84 months, including 6-month moratorium
Current Outstanding (as of 31 Jul 2025)	₹6,15,40,000
Repayment	Structured quarterly installments (EMI-equivalent) as per amortization schedule
Security	First charge on financed machinery; equitable mortgage of factory premises at Bibinagar; personal guarantee of promoter-director
Relationship Manager	Ms. Aparna Chowdhury, Manager — Corporate Banking

2. Borrower Profile

Vantage Foods Processing Pvt. Ltd. processes and packages frozen and ready-to-cook food products for retail and institutional buyers across South India. The term loan financed a capacity expansion, including a new cold storage unit and processing line, commissioned in phases through late 2022 and early 2023. The account was classified Standard until the covenant breach described below.

3. Chronology of Covenant Monitoring

Date	Event	Notes
12 Sep 2022	Full disbursement completed	Machinery commissioning confirmed by bank's technical consultant
31 Mar 2023	First annual covenant review (FY23)	All covenants compliant; DSCR at 1.38 against minimum 1.20
31 Mar 2024	Second annual covenant review (FY24)	DSCR moderated to 1.24, still compliant; noted as a trend to monitor
15 Nov 2024	Interim financial review triggered	Borrower reported raw material cost inflation impacting margins; requested informal discussion
31 Mar 2025	Third annual covenant review (FY25)	DSCR computed at 1.09, below the minimum threshold of 1.20 — covenant breach identified
10 Apr 2025	Breach notification issued to borrower	Formal letter citing DSCR breach; borrower asked to submit corrective action plan within 30 days
28 Apr 2025	Account flagged on internal	Classified as Special Mention Account category SMA-0 (no repayment)

	watchlist	default, but covenant breach flagged)
9 May 2025	Borrower's corrective action plan received	Proposes cost optimization measures and a temporary working capital top-up from internal accruals; under bank review
20 Jun 2025	Credit committee review of corrective action plan	Plan accepted in principle; borrower to submit quarterly progress updates for next two quarters

4. Documents on Record

Document	Description	Status
Loan agreement and sanction letter	Dated 20 Jul 2022, original terms including covenant schedule	Executed and on file
Amortization schedule	Quarterly repayment schedule over 84-month tenor	On file; no rescheduling to date
Breach notification letter	Dated 10 Apr 2025	Issued and acknowledged by borrower on 14 Apr 2025
Corrective action plan	Submitted by borrower, dated 9 May 2025	Reviewed and accepted in principle by credit committee 20 Jun 2025
FY25 audited financials	Basis for DSCR breach computation	On file

5. Covenant Compliance Summary

Covenant	Threshold	Status (FY25)
Debt Service Coverage Ratio (DSCR)	Minimum 1.20	1.09 — BREACHED
TOL/TNW	Maximum 2.75	2.61 — compliant
Current Ratio	Minimum 1.15	1.22 — compliant
Fixed Asset Coverage Ratio	Minimum 1.30	1.48 — compliant

The DSCR breach is the sole covenant in default for FY25. Repayment obligations have continued to be met on schedule with no instance of overdue installment as of the date of this file.

6. Risk Assessment and Watchlist Status

The account is currently classified as Standard but flagged as SMA-0 (Special Mention Account, no overdue amount) following the DSCR covenant breach identified in the FY25 review. No principal or interest installment has been missed. The primary risk driver is margin compression from raw material cost inflation rather than any operational or governance concern. The account will remain on watchlist for at least two subsequent quarters pending demonstrated improvement in DSCR per the accepted corrective action plan.

7. Current Status

The borrower's corrective action plan has been accepted in principle by the credit committee, with a requirement for quarterly progress updates over the next two quarters (Q2 and Q3 FY26). Repayments remain current with no overdue amounts. The account continues to be monitored under SMA-0 watchlist classification.

8. Next Steps

- Obtain first quarterly progress update on corrective action plan by 15 October 2025
- Recompute DSCR based on Q2 FY26 management financials to assess trajectory toward covenant compliance
- If DSCR remains below threshold after two consecutive quarters of monitoring, escalate for consideration of restructuring or enhanced security cover
- Continue standard quarterly monitoring of TOL/TNW, Current Ratio, and Fixed Asset Coverage Ratio, all currently compliant

9. Internal Notes (Confidential)

Relationship Manager assesses the covenant breach as cyclical (raw material cost-driven) rather than structural, and recommends against premature escalation to restructuring at this stage. Credit team to reassess this view independently at the Q2 FY26 progress update, particularly if raw material cost pressures have not eased as the borrower's corrective action plan assumes.

10. Key Contacts

Name	Role	Organization
Mr. Srikanth Rao	Managing Director	Vantage Foods Processing Pvt. Ltd.
Ms. Aparna Chowdhury	Manager, Corporate Banking	Continental Merchant Bank Ltd.
Mr. Dilip Kumar Shah	Credit Committee Chair	Continental Merchant Bank Ltd.

11. Correspondence Log

Date	Correspondence	Summary
18 Nov 2024	Borrower's informal email on cost pressures	Preceded the formal interim financial review triggered 15 Nov 2024
14 Apr 2025	Borrower's acknowledgment of breach notification	Confirmed receipt and committed to submitting corrective action plan within 30 days
25 Jun 2025	Bank's letter accepting corrective action plan	Set out quarterly progress update requirement for next two quarters

12. Regulatory and Internal Policy References

- Reserve Bank of India Master Circular on Prudential Norms on Income Recognition, Asset Classification and Provisioning — governs SMA classification framework applied in Section 3
- Bank's Internal Credit Policy, Section 11 (Covenant Monitoring) — governs covenant breach notification timelines and escalation procedure followed in this file
- Bank's Internal Credit Policy, Section 14 (Corrective Action Plans) — governs the format and evaluation criteria for borrower-submitted corrective action plans

13. Glossary of Terms Used in This File

- DSCR: Debt Service Coverage Ratio, measuring a borrower's cash flow available to service debt obligations (principal and interest) for a given period
- SMA-0: Special Mention Account category indicating a covenant or performance concern with no repayment overdue
- Corrective Action Plan (CAP): a borrower-submitted plan outlining specific steps to restore compliance with a breached covenant within an agreed timeframe
- Fixed Asset Coverage Ratio: a covenant measuring the value of a borrower's fixed assets against outstanding term debt, used to assess asset-backed recovery cushion

14. Distribution

This file is maintained by the Corporate Banking Branch, Hyderabad, and circulated to the credit committee and Stressed Assets Group point of contact for information. Internal notes in Section 9 are restricted to internal bank personnel and must not be shared with the borrower or any external party.

End of document. Internal reference: CMB-TL-2022-0954 (synthetic training corpus).